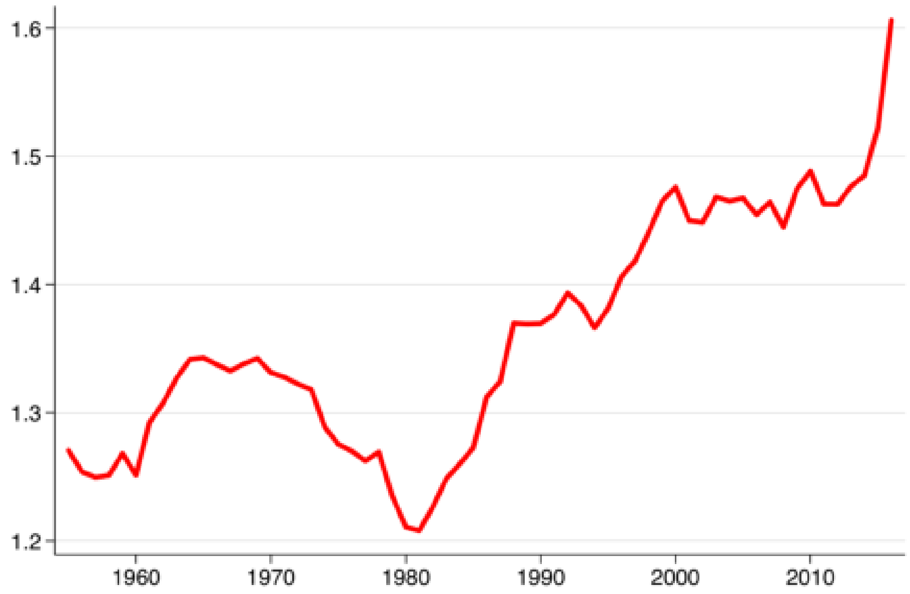
Class 20

Market Power and Antitrust

Part IV — Governing Capitalism's Consequences

ECON 1740 — The American Economy · University of Utah

The rise of markups in the U.S., 1955–present



1: Average Markups. Output elasticities θ_{st} from estimated production functi
arying and sector-specific (2 digit). Average is revenue weighted. Evolution 1955-

ince 1980 there has been a steady increase to 1.61. In 2016, the average markup cl
over marginal cost, compared to 21% in 1980. In Online Appendix 5 we report
les of individual firms' markups.

Source: De Loecker, Eeckhout, and Unger (2020), Quarterly Journal of Economics, Figure I.

Corporate profits as a share of national income

Source: Bureau of Economic Analysis, via FRED (CP/GDP).